

- Not a single applicant out of the 500 samples selected has registered a sale deed of the land he had proceeded to purchase in the first instance. This gives rise to a clear conclusion that the real estate business that the Company proclaims to carry on is a facade and sham to camouflage their activity as CIS.
- All the facts described above and the proposal of repayment as submitted by PACL suggests that PACL is operating nothing but a money mobilizing scheme.
- As stated above, no sale deeds were executed for all of the 500 customers selected on sample basis. Therefore, no possession of lands were handed over to such 500 customers. In view of the same, there was no need for any field visit to verify whether the customers of PACL actually received the lands or not.

j. Table of changes made in the agreements: I note that PACL along with its reply has provided a table showing the details of the changes made in the agreement from time to time. One of the changes as stated is that the provisions of the joint application is changed to single applicant in the agreement filed in the year 2000 and 2004. However, it is noted from the sample application form and agreement submitted for the years 2001 and 2004, that the application for the year 2004 does not have provision of seeking details of second and third applicant as was available during the years 2001, 2002 and 2003. It is further noted that the agreement submitted in the year 2004 still refers to 'joint applicants' (such as that at para 26 of the agreements). PACL has also intimated that the provisions for accidental disability/ death benefit and emergency loan were omitted in '2000 and 2004'. I have seen the application form cum agreement pursuant to the year 2000 i.e. for the years 2001, 2002, 2003 and 2004. From the same, it is noted that the application form and agreement for the years 2001, 2002 and 2003, have the provisions for accidental disability/ death benefit and emergency loan. The clauses relating to these have been omitted only in the year 2004.

PACL has also submitted that in the years '2004 and 2011', the application format was modified and an option regarding development and preference of State was added. I have considered this submission of PACL and perused the application forms and agreements for the years 2004 and 2005 and note that the same do not have such option of choosing development and the preference for a particular State. In view of the above, I note that the table of relevant changes as provided by PACL along with its submissions, does not give a complete picture of the alterations/changes made and is vague.

k. Verification of sale deeds by Justice K. Swamidurai

At this stage, I note from the argument of the noticees that Justice K. Swamidurai (Retd.) who was appointed by the Hon'ble High Court of Delhi vide order dated November 16, 2000 to supervise the land sale transactions of PACL has scrutinized/ supervised the sale transactions and also carried out the site inspection. PACL has said that the sale, purchase and development activities by itself are validated by Justice K. Swamidurai in his final report dated September 20, 2002 and he is still verifying all the sale deeds executed by PACL as per the order of Hon'ble High Court of Delhi. I note that Hon'ble Delhi High Court in its order dated March 03, 2003, in the matter of *S.D. Bhattacharya* case has *inter alia* stated that:

"... All transactions to be carried out by the Company should be carried out as per the report of Justice K. Swamidurai. Future registrations may continue after being duly verified by Justice K. Swamidurai and this will be done at the expense of the company."

- I observe that, Justice K. Swamidurai has verified 19,284 sale deeds, by April 2013. In other words, PACL has executed 19,284 sale deeds till date and all these are verified by Justice K. Swamidurai in compliance with order of Hon'ble High Court of Delhi. As noted above Justice K. Swamidurai, in his reports had advised PACL to apply and obtain the encumbrance certificate issued by the concerned Sub Registrars. However, I note that PACL has not produced any documents/ details to show that it has taken any steps towards procurement of such documents. From the same, I note that PACL although was executing sale deeds in favour of the customers and getting these verified through Justice K. Swamidurai, however, has not taken any steps to ensure that the subject land is encumbered in the real owners' name as required by Justice K. Swamidurai. I also note that PACL has not brought on record a single instance where the mutation has happened in the favour of any of the customers of the schemes.
- Further, I note from the submissions of PACL that it operates from 15 regional offices covering around 308 locations. It has 33,48,656 field associates during the year of 2011-12. From the same, I note that PACL had large scale of operation. By its own admission, PACL has **2.06 crore total customers** (details provided for the year 2005-2012). Further, from the available records, it is also noted that since inception till 2012, PACL has allotted land to about 1.22 crore customers.
- At this stage, I note from the details submitted during the course of investigation that PACL had mobilized funds from its customers to the tune of ₹ 44,736 crores till March

31, 2012. Further by its own admission, it has collected ₹ 4364,78,08,345 from 39,97,357 customers during the period of February 26, 2013 to June 15, 2014. **The total amount mobilized comes to a whopping 49,100 crore.** This figure could have been even more if PACL would have provided the details of the funds mobilized during the period of April 01, 2012 to February 25, 2013. The collection of such huge funds suggests that PACL has many more customers than the stated 1.22 crore. In this regard, I also refer to the proposal of PACL and its directors as forwarded to SEBI through their advocates and note that it has 4,63,13,342 customers to whom the land has not yet been allotted. **Thus, a quick calculation of the total number of the customer of PACL comes to around 5.85 crore** which includes the customers who said to have been allotted land and who are yet to be allotted the land.

- PACL while replying to the SCN and making submission during the personal hearings has heavily relied on the reports of Justice K. Swamidurai. I have considered the main defense of PACL that Justice K. Swamidurai has verified and validated the sale deeds executed by it. In order to verify the claim of PACL, I had asked it provide a summary of the sale deeds as verified by Justice K. Swamidurai. A gist of the details as submitted by PACL in this regard are as under:

Table - F

S.No.	Date of reports of Justice K. Swamidurai	No. of sale deeds registered in respect of customers
1.	January 05, 2002 and September 20, 2002	14,150
2.	August 30, 2007	1,102
3.	December 08, 2007	1,404
4.	November 13, 2009	2,367
5.	June 30, 2010	215
6.	December 10, 2011	30
7.	April 04, 2013	16
Total		19,284

There is no question of commenting on the transactions verified and validated by Justice K. Swamidurai. However, I note from the table above that PACL till the date of submitting information to SEBI had executed only 19,284 sale deeds. I note that as per its own admission, it had allotted land to 1.22 crore customers till 2012 without executing sale deeds. PACL has stated in its proposal that it is yet to allot land to around 4.63 crore customer as on March 31, 2014. This shows that the customer base of PACL has multiplied since the order of Hon'ble High Court of Delhi, however the number of sale deeds executed every year has come down significantly. It is seen that in the year 2000-2002

PACL had executed sale deeds in respect of '14,084' customers whereas the number of sale deeds executed has come down to mere '16' in the year 2013.

Further, PACL out of the sample of 500 customers, is not able to show a single transaction wherein the transaction would have been completed by execution of the sale deed. These facts raise serious doubt the real estate business that PACL claims to carry out. The available facts on record suggest that PACL by relying on certain sale deeds which in fact is less than 0.16% compared of its total customer base of 1.22 crore (customers to whom PACL claims that land has been allotted till 2012) claims that it is in the business of sale and purchase of agricultural land. If the executed sale deeds are compared with the total number of customers, i.e. about 5.85 crore as discussed in the paragraph above, the same is even more miniscule. This also corroborates my earlier conclusions that PACL is running a CIS and is promising returns to its customers in the guise of offering/ allotting lands. By stipulating the condition w.r.t. change of location (i.e. PACL reserves the right to change the location of the land till the stage of execution of sale deed) and stating that all its customers have 'opted out' and have been paid the promised sum indicated in the registration letter ('estimated realizable value') without deducting the 20% charges (which it claimed would be done in case a customer opts out), the 'real estate theory' put forth by PACL fizzles out. Thus it turns out that the schemes/ plans of PACL are nothing but a money mobilization scheme as detailed in the paragraphs above.

- 1. Samples of Executed Sale Deeds:** I observe from the information submitted by PACL, that initially when the schemes were introduced the lands were allotted by it in the State of Punjab only. Thereafter, it had allotted lands in Tamil Nadu, Andhra Pradesh and Orissa also. In 2005-06, PACL allotted land in Chattisgarh as well. PACL started allotting land in Rajasthan and Madhya Pradesh during the year 2006-07. An analysis of the details available shows that since inception PACL has allotted lands in 8 States only, out of which majorly the land has been allotted in Rajasthan, Tamil Nadu and Madhya Pradesh. I further note that during the year 2010-11, 99.90% of the customers were allotted land in 3 States only namely Rajasthan, Tamil Nadu and Madhya Pradesh. It is sheer coincidence that the 19,284 sale deeds which were verified by Justice K. Swamidurai were for the lands in these three States only.

I have seen the copies of the executed sale deed submitted by PACL on a sample basis. For an independent analysis, I have taken certain samples for detailed examination and noted as under:

Table - G

Name of Customer	Applicat ion year	Date of sale deed	City/ State of customer	Total Area [Area sold to customer]/ Consideration (₹)	PoA holder of Customer	City/ State of Custo mer's PoA	State where land is situate d	If land belongs to PACL	Land in the name of	Land purchased on	Authorised representativ e who have signed on the sale deed	City/ State of PoA
Ms. Marriet Pinto	2005	December 08, 2007	Manglore/ Karnataka	140 Bigha, 11 Biswa [1001 sq. yds.]/15,000	Suresh Sinha, Sr. Assistant, PACL	Noida/ U.P.	Rajasthan	No	Chailbihari, R/o Allahbad, U.P.	June 18, 2007	Manoj Kumar	Delhi
Panna Lal Bairwa	2006	October 24, 2011	Dausa/ Rajasthan	1.31 Cts.* [0.20 ³ / ₄ Cts.]/ 10,375	S. Karthikeyan	Pondich erry	Tamil Nadu	No	PVG Developers P. Ltd.	October 20, 2008	Gurunatha n	Madurai / Tamil Nadu
Banwari Lal Nagar	2006	Februar y 14, 2012	Baran/ Rajasthan	1.70 Cts. [0.20 ³ / ₄ Cts.]/ 10,375	S. Karthikeyan	Pondich erry	Tamil Nadu	No	World Wide Real Estate P. Ltd.	March 30, 2009	Gurunatha n	Madurai / Tamil Nadu
Ms. H. Rajina Begam	2006	April 09, 2009	Perambalu r/ Tamil Nadu	5.016 Hectare [0.084 Hectare]/ 15,000	Manoj Kumar	Delhi	Madhya Pradesh	No	Narendra Sharma	-	Kamalveer Tyagi	Delhi

* 1 Cts (Cent) = 0.004046856 Hectare

Having examined the samples selected, my observation on the same are as under:

- The 'power of attorney' holder has executed the documents on behalf of the customers. The power of attorney (PoA) given by the customers have been notarised at New Delhi i.e. a place none of the customers have any relation except that PACL has its registered office at New Delhi. Given this fact, it could also be inferred that the PoA was used for 'changing location' and thereafter to 'opt out' on behalf of the customer than for registration of the sale deed on behalf and in favour of the customer.
- The land sold is not in the name of PACL. It has been stated in the sale deeds that PACL is in agreement with such land holders. However, I note that no such agreement have been made part of the sale deed. The same suggests that PACL does not own the land even on the date of sale deeds.
- The date of purchase of land by sellers and the date of sale deed are close. For e.g. in the case of the customer namely Ms. Marriet Pinto, the land was purchased on June 18, 2007, the same was transferred in the name of the customer on December 08, 2007, i.e. just after 6 months. The same shows that PACL pools in the money for the purchase of land and does not do any development of the land. However, this type of cases are very negligible.
- The land allotted are located at places which are far off from the places where the customers are generally residing.

- Customers have been given very small portion out of a large tract of the land and the consideration is said to have been taken in cash on the date of the sale deed execution, which bears a common survey number. I note that PACL has sold only a portion of land to its customers out of one huge piece of land which bears a common khasra/ survey number.
- In the schedule of the property, only boundary details with serial number of the adjoining plots have been given. The schedule does not specifically identify the plot given to the customers. The sale deeds do not have the diagram depicting the demarcation of the plots sold/ map for the ease of identification of the plot. The above findings are in contrast with the submission of PACL that the plots are adequately described in the sale deeds.

PACL in its submissions has said that the practices of entering into 'joint sale deeds' has been discontinued since the year 2000. It has also been submitted that the sale deeds registered in favour of the customers pertain to their share in an un-partitioned agricultural land and hence the plot allotted to such customers are surrounded by other plots. The agreement forming part of the sample application form as discussed elaborately contain the following under the heading 'Sale of Plot':

"... Since fragmentation into smaller size of plot(s)/ lands may not be practicable, feasible or permissible under the relevant Revenue laws, the customer shall have the requisite share along with other allottees/ transferees in a particular joint holding with other customers. Accordingly, symbolic possession of the plots shall be handed over to the customer immediately after Registration of the relevant sale deed so as to enable PACL to implement the agreement during the relevant period The right, title and interest of the customer to the land herein demised, shall remain inviolate, subject to the reciprocal rights and obligations of the customer herein and PACL."

Further, PACL has also submitted that only symbolic possession of plots are handed over to the customers as fragmentation of land/ plot into smaller sizes may not be practical or permissible under the applicable revenue laws. I note that PACL in the sale deed has not mentioned how the customers will access/ use such un-partitioned agricultural land.

A reading of the above observations on the sample of documents submitted by PACL gives an inference that the transaction of PACL are not simple real estate transaction or land sale/ purchase transaction. While proceeding further, I also note that PACL vide its letter dated May 10, 2013, had submitted ten copies of different executed agreements, application forms, allotment letters, executed and registered sale deeds. The allotment letter in such samples contained the khasra number and plot number along with village, tehsil,

district and State name. A perusal of the respective sale deed shows that the plot number as mentioned in the allotment letter is not there in the sale deed.

m.Commissions paid by PACL and its financials: While proceeding further with the matter, I note that the SCN has alleged that a large proportion of the amount received as advances from customers by PACL is used towards payment of commissions and incentives to its agents. PACL in its reply has admitted that for carrying out its business, it uses agents and pays commissions to these and the field associates also who are appointed by agents. PACL in its reply has submitted that in CDPP, it pays commission @ 10.50% to 12.50% of the total consideration paid by the customer depending upon the duration of the plans. In IPP, it pays commissions from advances received from customers through several years and the same is in the range of 6.6% to 10.25%. It has also been said that the total customer advance and the prepaid commission upto March 31, 2012 is ₹ 44,736.23 crores and ₹ 8,874.15 crores respectively. The calculation of percentage of prepaid commission to customer advances comes to around 19.83%. PACL has further submitted that the commission paid upto March 31, 2012 is ₹ 7,893.80 crores. I note that in simple real estate transaction, the commission is generally fixed on the cost of the land. However, in the instant case the payment of commission to the agents does not seem to be made on the basis of cost alone. Rather, the payment of 19.83% of the total customer advances towards pre-paid commission suggest that the same was calculated on the basis of total amounts mobilized including the development charges also. However, it cannot be understood as to what role an agent can have in respect of development of land for which commission has been paid.

I have seen the details of the commission paid by PACL to its agents as submitted during the investigation, the same has been reproduced as under:

Table - H

Financial year	Amount Paid
1996-1997	1,12,23,818.86
1997-1998	6,00,46,682.88
1998-1999	6,51,90,054.53
1999-2000	6,18,05,900.28
2000-2001	10,31,33,043.45
2001-2002	19,48,00,742.68
2002-2003	31,24,87,763.87
2003-2004	45,13,59,663.53
2004-2005	107,33,42,001.05
2005-2006	364,14,00,910.72

2006-2007	657,75,16,858.12
2007-2008	950,00,04,002.94
2008-2009	1118,22,17,766.22
2009-2010	1285,21,04,794.64
2010-2011	1731,74,64,064.83
2011-2012	1553,39,30,463.93

By the own admission of PACL, the major source of revenue (more than 90%) is from the sale of land. In this regard, I note that PACL has collected funds under the CDPP and IPP plan and as stated earlier has allotted land to around 1.2 crore customers. The head 'sale of land' in the balance sheet, covers the funds from such customers of PACL who according to it had applied for a plot of land and opted for the plan of CDPP and IPP. However, it has executed only 19,284 sale deeds. Although PACL shows the funds collected from its customers (*including the customer advances*) under the head 'sale of land', it actually allots the land to its customers and transfer the actual rights only in negligible cases. Further, PACL vide its letter dated August 11, 2014, has submitted that it has collected another ₹ 29,420.65 crore from 4,63,13,342 customers to whom it is yet to allot land.

PACL in its submission has argued that the amount of ₹ 4,182.14 crore (i.e. pre-paid commissions and other expenses as on March 31, 2012) as alleged in the SCN, includes other items like pre-paid expenses, rest advances, etc. I note from the asset details as mentioned in the balance sheet as on March 31, 2012, of PACL that the pre-paid commission and incentives are treated as 'loans and advances and other assets'. It is seen that as on March 31, 2012, 'the loans and advances and other assets' (i.e. ₹ 9,350.33 crore) include ₹ 4,182.14 crore, i.e., the prepaid commission and other expenses (i.e. more than 40% of loans and advances and other assets) which is a very high amount in proportion to the total sales value.

A perusal of the balance sheet of PACL also shows that certain amounts are appearing as prepaid commission/ expenses. Mr. Gurmeet Singh, the Executive Director, Finance of PACL, in his statement dated May 15, 2013 has submitted that '*... whenever we pay commission we book in pre-paid expenses and when actual sale is booked, we transfer this amount from pre-paid expenses to commission account, ...* .' Such submission of the director of PACL is not in line with the practice followed by the normal real estate companies which pay to their agents only on bringing the customers. It has also not made clear as to when the actual sale is booked.

I note that PACL has paid the commissions in advance to its agents, the same is not in line with then general practices wherein the commissions are calculated on the business brought out by an agent. The sequence of events suggests that PACL has released huge incentives to its agents, that too in advance. The above manner of incentivizing the agents suggests that PACL indulges in paying such huge commissions to its agents in order to please them for getting more and more clients. More clients would mean, PACL has more money (i.e., investments) at its disposal.

- n. Lists of Customers:** I further note the submission of PACL that it maintains the list of active customers only and does not keep any record of the earlier customers, whose agreement tenures have expired either in terms of the plan or on termination by PACL. There were lot of cases where the customers had chosen to opt out by themselves. According to PACL, it is practically impossible for it to maintain the data of all the customers since the inception of the company, more so for those customers whose agreement tenure has expired. Further, it has also been said that there is no necessity for PACL to maintain plan-wise data.

PACL requested SEBI to grant a reasonable time for submitting other lists such as list of total customers and separate lists of customers who have opted for CDPP/ IPP plan, customers who have opted for developing the plot themselves etc., considering the work involved. However, PACL has been mobilizing money from public and the scheme of PACL were alleged to be in nature of CIS since 1996. PACL has been litigating before various fora on this issue and the numbers and details of its customers are vital and crucial in deciding the nature of its activities. Therefore, I fail to understand how PACL has chosen not to keep the relevant details till date.

- o. Proposal of PACL filed pursuant to the personal hearing dated July 12, 2014:** PACL through its advocates has submitted a proposal for repayment dated August 11, 2014, and submitted that it is engaged in two types of real estate businesses i.e. sale and purchase of agricultural plots as well as carrying out development activities pertaining to the agriculture on behalf of the customers to whom the plots of land are sold. It has been said that without prejudice to all the contentions and submissions made, in order to protect the interest of the customers and without getting into further litigation, PACL is submitting a proposal for repayment of the money to the eligible customers.

PACL has also submitted that as on March 31, 2014, it had 4,63,13,342 customers and an amount of ₹ 29,420.65 crore stands outstanding as against these. It has also been said that the value of total lands in the form of 'stock-in-trade' as on March 31, 2014 is ₹ 11,706.96 crores which comprises of two categories: i.e. agricultural lands (₹ 7,322.11 crores) and commercial lands (₹ 4,384.84 crores). PACL has requested for a period of 5 years for execution of the repayment proposal.

The company has only lands worth ₹ 11,706.96 crore [i.e. agricultural lands (₹ 7,322.11 crores) and commercial lands (₹ 4,384.84 crores)] out of which it has not only to satisfy the claim of 4.63 crore customers who have deposited 29,420 crore with it but also to satisfy 1.22 crore customers to whom the land has been allotted but sale deeds have not been executed. Further, PACL has also not given the complete details of the land it claims to hold. In view of the above, the proposal does not appear to be serious and reasonable.

- p. Land holding of PACL:** PACL is not the registered owner of all the plots sold to its customers as the seller of the plots in majority of the cases are entities other than PACL. In this regard, Mr. Sukhdev Singh in his statement dated May 14, 2013 submitted that '*The land stated in the balance sheet is owned by the PACL, through registered sale deed/ General Power of Attorney/ agreement to Sale and associates of the company with whom the company has entered into MoU, for which the company is also paying the custodian charges for holding the land by those companies in favor of PACL.*'

Year-wise details of the land purchased by PACL, holding through registered sale deed, general power of attorney, agreement to sale and through its associate companies with whom it has entered into Memorandum of Understanding (MoU) are as under:

Table - I

(Area in acres)

Year	Direct holding through Sale Deed (A)	Holding through General Power of Attorney/ agreement to sale (B)	Holding through Associate Companies (C)	% of direct holding by PACL to the total land purchased (A/(A+B+C) x 100)
2005-06	243.8436	13733.8874	-	1.74
2006-07	37776.9900	18286.1744	-	67.38
2007-08	2615.4976	11668.3945	744.3532	17.4
2008-09	10058.0998	47816.2024	13286.7797	14.13
2009-10	1327.1698	50156.3718	4528.8882	2.3
2010-11	704.7548	44426.3894	13618.1568	1.19
2011-12	1164.33	28851.76	3314.13	3.49

From the above, it is noted that PACL has very limited stock of lands in its name and that most of the lands are held through General Power of Attorney/ through Agreement to Sale/ through associate companies. PACL in its reply has informed that the said associate companies are controlled by its friends and nears and dears of the management of PACL. I observe that PACL enters into an MoU with the associate companies for the purchase of land. The MoU *inter-alia*, states that as PACL is unable to purchase the land in its own name beyond certain limits due to the land laws and other applicable laws of the land in different States of the country, PACL has nominated the associate company to purchase the land for PACL and get the sale deed executed in the name of associate company.

Mr. Gurmeet Singh, Executive Director, Finance of PACL, in his statement dated May 15, 2013 has said that *"We do not hold some of the land in our name due to land ceiling laws of different states. The purchase consideration of the land is paid by PACL directly to the seller/ vendor and the associate companies are holding the title of the land on behalf of PACL under custodian agreement and the land is in the possession of PACL that is why the same is shown as stock in trade. The associate companies are controlled by the friends and nears and dears of the management of PACL. The land which is held by these companies is protected by custodian agreement and the custodian charges are paid to these companies. In the event of any dispute, this custodian agreement will be the support for PACL to claim the land or money from the associate companies. Money goes directly to the seller from PACL and not to the associate companies. There are around 250 associate companies."*

From the above discussion, I find that there is a clear admission by PACL and its directors that it has made arrangements to purchase the land through its 250 associate companies, in order to circumvent the applicable laws of land ceilings as it could not have held such huge stock of land through its direct holding. It is a matter of serious concern for the State Authorities as well and a reference in this regard is required to be forwarded to the concerned State Authorities.

- q. I note from the agreement that PACL shall pay the land tax and other public dues/ levies, payable in respect of the plot to the appropriate authorities for and on behalf of the customer and the company shall be entitled to get the same reimbursed from the customer. As per the agreement, PACL shall be entitled to get the same reimbursed out of the net sale proceeds which is the 'Net Estimated Realizable Value' at end of term in accordance with the said plan.

In this regard, the relevant portion from the Order dated February 26, 2013 of the Hon'ble Supreme Court of India is reproduced below:

"4., it was suggested to the learned counsel whether the impugned orders of the appellant dated 30.11.1999 and 10.12.1999 themselves can be treated as show cause notices and an opportunity to be extended afresh to the first respondent company before passing final orders on the question as to whether or not the business of the first respondent company will fall within the category of Collective Investment Scheme (hereinafter being referred to as "CIS"). Further, depending upon the outcome of any such fresh orders to be passed by the appellant, further proceedings can be initiated by the appellant in accordance with law.

5. To the above suggestion, the learned senior counsel appearing for the respondents readily agreed. Learned counsels appearing for the appellant however, submitted that the appellant should have full cooperation from the first respondent Company, that appellant should be in a position to make an inspection, investigation, and inquiry of the first respondent Company, that it should have access to the verification of the records with the assistance of Auditors and only thereafter, the appellant would be in a position to issue any comprehensive show cause notice supplementing the proceedings dated 30.11.1999 and 10.12.1999. Learned counsel submitted that the appellant would require not less than three months' time to carry out the exercise and issue the supplementary show cause notice. Further, though learned counsel for the appellant submitted that the first respondent Company should be restrained from mobilising any fresh records, it was made clear that such a blanket prohibition cannot be issued, instead in the event of mobilisation of any fresh funds, the first respondent company would furnish the details of those transactions also to the appellant when the appellant proceed to hear the first respondent Company and before passing any fresh orders.

... ..

8. We also make it clear that the appellant shall pass fresh orders as regards the business activity of the first respondent company as to whether it falls under the category of CIS or not and depending upon the ultimate order to be passed it may proceed further in accordance with law. The appellant shall before taking any future action give prior notice to the first respondent company."

From the above, it is noted that Hon'ble Supreme Court of India has remanded the matter back to SEBI and directed SEBI to determine afresh 'whether the business of the PACL falls under the category of CIS?' The order further states that depending upon the final order to be passed by SEBI, further proceedings can be initiated by it in accordance with law.

I note that the issue framed, whether PACL is operating a CIS without obtaining registration from SEBI, has been elaborately dealt with in **paragraph 34** above. The natural consequences of operating an unauthorised CIS activity would be to immediately prevent the entity from continuing with such activity and to direct that entity to refund monies collected under its unauthorised CIS activity with promised returns to its customers. The same shall be followed in this case also. The above action is remedial and preventive in nature. Appropriately, penal and coercive action would ensue if the entity fails to comply with such remedial measures directed by SEBI. Accordingly, as per the

procedure followed by SEBI in the quasi-judicial proceedings, SEBI is now duty bound in terms of Section 11 and 11B of the SEBI Act, in the interest of investors and orderly development of securities market to restrain PACL from continuing with its money mobilization schemes, wind up its schemes which are in the nature of CIS as determined in this order and direct PACL to refund the monies mobilized under such CISs with returns that were promised to the customers.

At this stage, I note that during the course of personal hearing dated July 12, 2014, PACL has even submitted a draft proposal wherein it has *inter alia* proposed to discontinue all the existing schemes/ plan(s) and no new schemes/ plan(s) will be launched in future. The proposal also speaks about the repayments to the existing customers and for the same PACL has requested for a period of five long years.

By its own admission of PACL, it does not have enough land bank compared to the amount mobilized by it from the customer. I note that PACL had 4,63,13,342 customers as on March 31, 2014 who have not been allotted land. The outstanding dues to such customers as on March 31, 2014 is ₹ 29,420.65 crore and the value of total lands in the form of 'stock-in trade' as on March 31, 2014 is ₹ 11,706.96 crore. As discussed, PACL does not have assets corresponding to the amounts of monies raised by it from public. In view of the above, I reject the proposal of PACL.

36. After having found that the activities of PACL are in the nature of CIS, it becomes important to determine the liability of its directors – both past and present. The SCNs have been issued to Mr. Anand Gurwant Singh, Mr. Gurnam Singh (R/o P.O. Singh Bhagwant Pur), Mr. Tarlochan Singh, Mr. Sukhdev Singh, Mr. Nirmal Singh Bhangoo, Mr. Gurnam Singh (R/o P.O. Wazidpur), Mr. Uppal Devinder Kumar, Mr. Tyger Joginder, Mr. Gurmeet Singh and Mr. Subrata Bhattacharya. As regards the above persons; the following table provides the details regarding the period of their directorship in PACL:

Table - I

Name	Date of appointment	Date of ceasing
Anand Gurwant Singh	13-02-1996	16-09-1996
Gurnam Singh	13-02-1996	07-01-1997
Tarlochan Singh	13-02-1996	N. A.
Sukhdev Singh	03-06-1996	N. A.
Bhangoo Nirmal Singh	03-06-1996	03-02-1998
Gurnam Singh	10-01-1998	05-02-2009
Uppal Devinder Kumar	10-08-1998	29-09-1998
Tyger Joginder	05-09-2005	31-12-2008

Gurmeet Singh	01-02-2009	N. A.
Subrata Bhattacharya	01-02-2009	N. A.

- a.** From the above table, I note that Mr. Tarlochan Singh and Mr. Sukhdev Singh were appointed as directors of PACL during 1996. The said persons still continue as its directors. Mr. Gurmeet Singh and Mr. Subrata Bhattacharya were appointed as the directors of PACL during the year 2009 and still continue as its directors. The aforesaid 4 persons are the directors of PACL as on date. Therefore, they are liable and responsible for the violations committed by PACL in running CISs without obtaining registration from SEBI as required under law.
- b.** Mr. Tyger Joginder and Mr. Gurnam Singh (R/o Wazidpur) have resigned during the years 2008 and 2009 respectively. Mr. Tyger Joginder (appointed as a director on September 05, 2005) has submitted that he did not attend any board meetings and was not responsible for any action of the company which was not done with his consent. In my opinion not attending board meetings does not absolve a director from his responsibility. Mr. Gurnam Singh, vide letter dated July 24, 2013, has submitted that he was associated with PACL only for the period between January 10, 1998 and February 05, 2009. However, in his written submission dated July 01, 2014, he has contended that he was not aware as to when he was appointed and relieved as director of PACL. The above submissions are contrary to each other. In view of the above, Mr. Tyger Joginder and Mr. Gurnam Singh (R/o Wazidpur) are liable and responsible for the violations committed by PACL in running CISs without obtaining registration from SEBI as required under law, during the period when they were the directors.
- c.** From the above table, I also note that the noticee, Mr. Anand Gurwant Singh has resigned in the year 1996. The directors/noticees, Mr. Nirmal Singh Bhangoo and Mr. Uppal Devinder Kumar have resigned during 1998. Mr. Anand Gurwant Singh was the director of PACL since incorporation. As regards Mr. Nirmal Singh Bhangoo and Mr. Uppal Devinder Kumar, I note that these had resigned only after the press releases issued by Government of India and SEBI. In addition to the same, I also note that Mr. Nirmal Singh Bhangoo had an important role to play in the affairs of PACL i.e. of an advisor. In view of the same, these three noticees are liable and responsible for the violations committed by PACL in running CISs without obtaining registration from SEBI as required under law, during the period when they were the directors.

d. I note that Mr. Gurnam Singh (R/o P.O. Singh Bhagwant Pur) had ceased to be a director of PACL since January 07, 1997, on account of his death. In this regard, I have seen the relevant 'form 32'. Accordingly, taking note of the same, the proceedings in respect of Mr. Gurnam Singh (R/o P.O. Singh Bhagwant Pur) stands abated.

37. PACL Customer Association has requested that the interests of the customers should be kept in mind and SEBI's order should not adversely affect their interests. The entire exercise undertaken by SEBI is for protecting the customers by ordering that their monies be returned with returns that are promised by PACL Limited and due to them. However, keeping in mind that there might be some customers who have entered into some land transaction with PACL and there transactions have been certified to be genuine by Justice K. Swamidurai. I therefore direct that nothing contained in this order will affect the sale deeds which have been certified as genuine by Justice K. Swamidurai. The request made by PACL Customer Association is accordingly disposed off.

DIRECTIONS

38. In view of the observations made in this Order, I, in compliance with the directions of the Hon'ble Supreme Court, in exercise of the powers conferred upon me under Section 19 of the Securities and Exchange Board of India Act, 1992, hereby find that the business/activities/schemes/plans offered and operated by PACL are Collective Investment Schemes, satisfying all the ingredients specified under Section 11AA of the Securities and Exchange Board of India Act, 1992. The natural consequences of such findings would be to *inter alia* direct PACL and its directors and promoters to refund the monies, which have been collected in an unauthorized manner, with promised returns to investors. Accordingly, I, in exercise of the powers conferred upon me under Section 19 of the Securities and Exchange Board of India Act, 1992 and Sections 11, 11B and 11(4) thereof read with Regulation 65 of the Securities and Exchange Board of India (Collective Investment Schemes) Regulations, 1999, hereby issue the following directions:
- a. PACL Limited [PAN: AAACP4032A], its promoters and directors including Mr. Tarlochan Singh [PAN: AIEPS9489Q], Mr. Sukhdev Singh [PAN: AUGPS0130B], Mr. Gurmeet Singh [PAN: AAMPS1400Q] and Mr. Subrata Bhattacharya [PAN: AAIPB6480H], shall abstain from collecting any money from investors or launch or carry out any Collective Investment Schemes including the schemes which have been identified as a Collective Investment Scheme in this Order.

- b. PACL Limited, its promoters and directors including Mr. Tarlochan Singh, Mr. Sukhdev Singh, Mr. Gurmeet Singh and Mr. Subrata Bhattacharya, shall wind up all the existing Collective Investment Schemes of PACL Limited and refund the monies collected by the said company under its schemes with returns which are due to its investors as per the terms of offer within a period of three months from the date of this Order and thereafter, within a period of fifteen days, submit a winding up and repayment report to SEBI in accordance with the SEBI (Collective Investment Schemes) Regulations, 1999, including the trail of funds claimed to be refunded, bank account statements indicating refund to the investors and receipt from the investors acknowledging such refunds.
- c. PACL Limited and its directors, including Mr. Tarlochan Singh, Mr. Sukhdev Singh, Mr. Gurmeet Singh and Mr. Subrata Bhattacharya are also directed to immediately submit the complete and detailed inventory of the assets owned by PACL Limited.
- d. PACL Limited, its promoters and directors including Mr. Tarlochan Singh, Mr. Sukhdev Singh, Mr. Gurmeet Singh and Mr. Subrata Bhattacharya, shall not alienate or dispose off or sell any of the assets of PACL Limited except for the purpose of making refunds to its investors as directed above.
- e. In the event of failure by PACL Limited and its directors/ promoters to comply with the above directions, the following actions shall follow:
- PACL Limited and its directors, including Mr. Tarlochan Singh, Mr. Sukhdev Singh, Mr. Gurmeet Singh, Mr. Subrata Bhattacharya, Mr. Anand Gurwant Singh, Mr. Nirmal Singh Bhargoo, Mr. Uppal Devinder Kumar, Mr. Tyger Joginder and Mr. Gurnam Singh (R/o Wazidpur) shall immediately (*on expiry of the three months period available for making refunds*) be restrained from accessing the securities market and would further be prohibited from buying, selling or otherwise dealing in securities market till all the Collective Investment Schemes of PACL Limited are wound up and all the monies mobilized through such schemes are refunded to its investors with returns which are due to them.
 - SEBI would make a reference to the State Government/ Local Police to register a civil/ criminal case against PACL Limited, its promoters, directors and its managers/ persons in-charge of the business and its schemes, for offences of fraud, cheating, criminal breach of trust and misappropriation of public funds; and
 - SEBI would make a reference to the Ministry of Corporate Affairs, to initiate the process of winding up of the company, PACL Limited.

- Without prejudice to the above, SEBI shall also initiate attachment and recovery proceedings under the SEBI Act and rules and regulations framed thereunder.

f. Further, for the reasons stated above in this Order, the SCN issued in respect of Mr. Gurnam Singh (R/o P.O. Singh Bhagwant Pur) is disposed off without any directions.

39. The above directions shall come into force with immediate effect.

40. The Hon'ble Supreme Court has also directed SEBI to proceed further in accordance with law if PACL is found to be carrying on CISs. Therefore, for the contraventions as found in this Order and the contravention of Regulation 4(2)(t) of the SEBI (Prohibition of Fraudulent and Unfair Trade Practices Relating to Securities Market) Regulations, 2003, I advise SEBI to initiate appropriate proceedings under Sections 11(4) and 11B of the SEBI Act read with Regulation 65(e) of the CIS Regulations and Chapter VI A of the SEBI Act against PACL Limited, its promoters and directors, including Mr. Tarlochan Singh, Mr. Sukhdev Singh, Mr. Gurmeet Singh, Mr. Subrata Bhattacharya, Mr. Nirmal Singh Bhangoo [PAN: ACTPB6698L, DIN: 0031748], Mr. Tyger Joginder [DIN: 00694280], Mr. Gurnam Singh (R/o Wazidpur) [PAN: AOYPS3203H; DIN: 00498810], Mr. Anand Gurwant Singh and Mr. Uppal Devinder Kumar.

41. The above action would be without prejudice to the right of SEBI to initiate any action under law including prosecution proceedings under Section 24 of the Securities and Exchange Board of India Act, 1992, against PACL Limited, its promoters and directors, including Mr. Tarlochan Singh, Mr. Sukhdev Singh, Mr. Gurmeet Singh, Mr. Subrata Bhattacharya, Mr. Nirmal Singh Bhangoo, Mr. Tyger Joginder Mr. Gurnam Singh (R/o Wazidpur), Mr. Anand Gurwant Singh and Mr. Uppal Devinder Kumar and those other persons who are in default, for the above violations.

42. Copy of this Order shall be forwarded to recognized stock exchanges and depositories for information and necessary action.

DATE : AUGUST 22, 2014
PLACE: KOLKATA

PRASHANT SARAN
WHOLE TIME MEMBER
SECURITIES AND EXCHANGE BOARD OF INDIA